

Tata AI Legal Intelligence

Executive Compliance & Risk Assessment Report | Job ID: f4d1ff5e-3130-4f8c-bfa2-d9967d86a6bb

Filename:	new 1.txt
Business Unit:	Legal
OCR Confidence:	95.8%
Pages Processed:	1

Extracted Clauses & Risk Matrix

#1: Summary

Risk: INFO

Text: Master Vendor Services Agreement dated July 25, 2026, executed between Tata Group ('Client') and Global Tech Solutions Inc. ('Vendor'). Vendor is appointed as the exclusive provider of enterprise software support and cloud infrastructure maintenance for a 5-year initial term. Payment terms are Net 30 with a 5% monthly late payment penalty. The contract features 10-year post-termination confidentiality obligations, uncapped liability and indemnification for Client, and New York governing law/jurisdiction.

Rationale: Provides a baseline summary mapping involved parties, key execution dates, scope of services, and commercial parameters for compliance review.

#2: Missing Expected Clauses

Risk: HIGH

Text: Missing critical enterprise compliance clauses: Data Protection and DPDP Act Compliance (CLS-DATA-010 / REG-DPDP-2026), Intellectual Property Work-Made-for-Hire Assignment (CLS-IP-006), Anti-Bribery & Corruption Compliance (CLS-ETH-013), Audit and Facility Inspection Rights (CLS-AUD-015), Subcontracting Restrictions (CLS-SUB-012), and Prevention of Sexual Harassment (POSH) Mandate (POSH-IND-012).

Rationale: The agreement lacks mandatory regulatory and enterprise safeguards required by Tata Group policy, exposing the organization to statutory penalties under the Indian DPDP Act, compliance failures, and operational risks.

#3: Limitation of Liability

Risk: HIGH

Text: Client agrees to fully indemnify and hold Vendor harmless against any and all third-party claims, without any cap or limitation on the monetary amount... Client's total liability under this Agreement shall remain entirely unlimited.

Rationale: Direct violation of high-risk policy targets POL-IND-2026-01, RISK-CAP-99, and CLS-LIAB-001. Tata Group entities are strictly prohibited from accepting uncapped indemnification or unlimited financial liability.

#4: Governing Law, Jurisdiction & Dispute Resolution

Risk: HIGH

Text: This Agreement shall be governed by and construed in accordance with the laws of the State of New York, USA. Any disputes shall be exclusively resolved in the federal courts located in Manhattan, New York.

Rationale: Non-standard jurisdiction clause breaching CLS-LAW-008 and LAW-CORP-882. Tata Group policy mandates Indian governing law with exclusive jurisdiction in Mumbai courts or binding institutional arbitration in Mumbai (MCIA/SIAC).

#5: Term and Renewal

Risk: MEDIUM

Text: Client may not terminate this Agreement for convenience during the initial term.

Rationale: Conflicts with CLS-TERM-004 and TERM-CON-102, which require granting Tata Group a unilateral right to terminate for convenience upon 30 to 60 days advance written notice without penalty.

Human Governance & Audit Sign-Offs

Reviewer Identity	Governance Action
atish@tata.com	ACCEPT